

Expense Management & Approval Policy

Policy ID: FIN-EXP-001 **Version:** 1.0 **Effective:** 27 Sep 2026

Owner: Head of Finance

Status: Internal / fictional policy for the FINOP demonstration environment

Purpose

Define controls for business expenses, approvals, supporting evidence, reimbursement, vendor invoices, and exception handling.

Standards alignment note

Original policy language designed for the FINOP demo. The control structure is informed by widely used principles for internal control, risk management, financial reporting, and revenue recognition, including COSO-style control concepts and IFRS-style revenue principles; it is not a reproduction of any proprietary standard and does not claim regulatory compliance.

1. Scope

- Covers operating expenses, employee reimbursements, procurement-related invoices, subscriptions, travel, professional services, and other business costs.
- Capital expenditure is subject to separate capitalization and asset-control procedures.

2. Expense principles

- Expenses must have a legitimate business purpose and be supported by appropriate evidence.
- Employees may not approve their own expenses.
- Expenses must be coded to the correct cost center, category, project, and accounting period.
- Duplicate claims and split transactions designed to avoid approval thresholds are prohibited.

3. Approval matrix

≤ **■10,000**. Cost-center owner approval.

■10,001–■50,000. Department head approval.

■50,001–■2,00,000. Department head plus Finance approval.

■2,00,001–■10,00,000. Finance Director plus budget-owner approval.

>**■10,00,000**. CFO or delegated executive approval.

Related-party or conflict-of-interest expense. Independent Finance review regardless of amount.

4. Required evidence

- Invoice/receipt, supplier identity, date, amount, tax information where applicable, business purpose, cost center, and approver.
- Missing evidence requires documented exception approval; repeated exceptions must be reported to Finance.

5. Reimbursement

- Employee claims should be submitted within 30 calendar days of the expense unless an approved exception exists.

- Finance should review duplicates, unusual merchants, weekend/holiday patterns, round-dollar claims, and policy-limit breaches.

6. Vendor invoice controls

- Verify vendor identity, invoice number, date, amount, tax details, purchase order where required, and evidence of receipt/service.
- Duplicate invoice numbers or near-duplicate invoices require investigation before payment.

7. Monitoring

- Monthly expense analytics should review spend by vendor, employee, department, category, and period.
- Material unexpected increases should be investigated and documented.

8. RAG retrieval anchors

- Expense approval thresholds
- Employee reimbursement
- Duplicate invoice
- Supporting documentation
- Cost center
- Conflict of interest
- Expense exception

Document control: Review at least annually and whenever a material business, regulatory, accounting, technology, or risk change occurs. This document is not legal, accounting, tax, or regulatory advice.